
AN EXAMINATION OF OPPORTUNISTIC ACTION WITHIN RESEARCH ALLIANCES: EVIDENCE FROM THE BIOTECHNOLOGY INDUSTRY

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EXECUTIVE SUMMARY

Like a photographer trying to take a perfect picture, an entrepreneur trying to increase the odds of survival must learn very quickly that focus is everything. And what demands an entrepreneur's immediate focus is the development of new products. Entrepreneurial ventures depend on the rapid creation of new products to gain access to early cash flows, create legitimacy, grab early market share, and increase their odds of survival (Schoonhoven, Eisenhardt, and Lyman 1990). However, the increasing costs and complexity of new product development are making it difficult for entrepreneurial ventures to contain the assets needed for successful R&D within their boundaries, forcing them to reach beyond their borders to access resources. Barley et al. (1992) document the use of more than 900 contractual research agreements within the biotechnology industry alone. Recent research has also found a positive relationship between the use of alliances in the R&D process and the rate of new product development (Deeds and Hill 1996; Shan, Walker, and Kogut 1994).

This particular study focuses on the use of relational contracts in the R&D process and extends the prior work on relational contracts to create an explanatory model of the deterrents to opportunism within a relational contract. The article begins with a discussion of the traditional modes of deterring opportunism and of modes of deterring opportunism based on the development of a strong cross-bound-

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